Step-2: Industry Analysis

1. Importance of the industry can never be understated. State of industry will affect company performance.
2. It is important to determine cycle. These are entrepreneurial or sunrise, expansion or growth, stabilization or maturity and decline or sunset stages.
3. Investors should purchase in the first two stages and disinvest at the maturity stage.
4. It is better to invest in evergreen industries. Results of cyclical industries are volatile.
5. Investors should consider competition as the greater the competition the lower the profits.
6. It is safer to invest in industries not subject to government controls.
7. Export oriented industries currently favoured by the government.